

**TABLE 6.44** Results 2012

|                 | US\$        | Percentage |
|-----------------|-------------|------------|
| Starting NAV    | 70,666,752  | 706.67     |
| Trading result  | -14,226,173 | -20.10     |
| Interest income | 112,764     | 0.20       |
| Management fee  | 826,766     | 1.20       |
| Performance fee | -14,940,175 | 0.00       |
| Net result      | —           | -21.10     |
| Ending NAV      | 55,726,577  | 557.30     |

new high on the portfolio value before you get paid a performance fee. So now that you're down 21%, you need to trade the portfolio up 27% before you get paid any serious money. Why 27 and not 21? If you ask that question, you need a basic maths refresh. If we started with 100, we would have 79 after the loss of 21%. To get back up to the old high-water mark of 100, we need to multiply 79 by 1.27.

So we get no performance fee, and only US\$820,000 in management fees. That may sound huge, but you need to put it in context. We're now managing US\$70 million, we probably have offices, staff, and overheads. This is a business, and 800k won't keep us above the waterline.

## ■ 2013

It's January 2013 and we have a 27% hike up to get paid performance fee again. That's a very tough spot to be in, and without a doubt very demoralising. As you've seen, the interesting money comes from performance fees and at this point we can be quite sure that we have a least one year ahead of us where we work almost for free. This is the reason why some hedge funds simply choose to close down once they are in a deep hole. But we're not quitters, are we?

The portfolio we're sitting on at this time is betting on a renewed bull market. We're long equities across the board as well as long rates (Tables 6.45 and 6.46 and Figure 6.68). Our largest exposure is to the agricultural space, with a mix of longs and shorts. This is often a comfortable sector to be exposed to, as it tends to be less correlated to the often binary risk-on, risk-off types of themes that often dominate the financial markets. Unusual as it